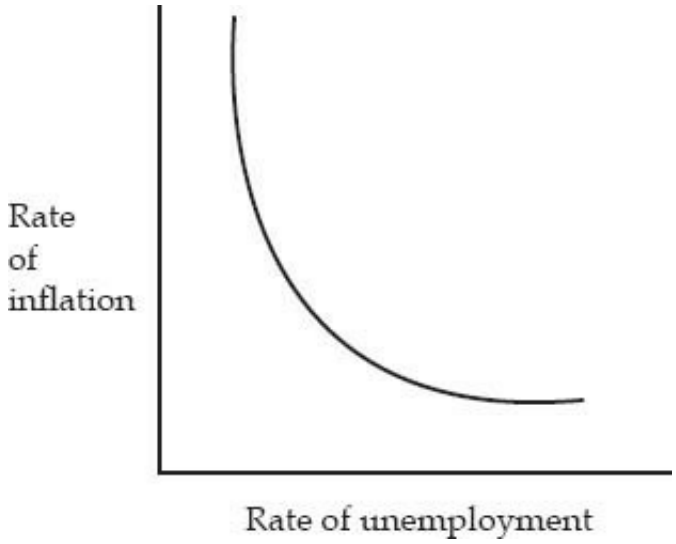


Stagflation

Stagflation refers to the situation of coexistence of stagnation and inflation in the economy. Stagnation means low national income growth and high unemployment. The Phillips Curve shows that at high rate of inflation, there is low rate of unemployment. But stagflation proves the contrary.

Before the 1970s, it was considered that at the time of inflation, the economy will be booming. The 1970s, scenario proved contrary the existence of inflation and stagnation.

Base Effect

Base effect refers to the phenomenon of current year index being influenced by very low or high base period index. Consider the following example.

Case 1

Price index on January 7, 2007 = 110

Price index on January 7, 2008 = 120